

General

“Marketing is the whole business seen from the point of view of its final result, from the point of view of the customer.”

The goal of marketing is to create a product that sells, not to sell a product.

Value optimization is the fundamental marketing principle.

G-STIC Framework: Set a goal, develop a strategy, design the tactics, define an implementation plan, identify a set of control metrics to measure the success of the proposed action.

Creating a marketing plan involves four key components:

- **Executive summary** outlines the highlights of the marketing plan. It is the streamlined overview of the company’s goal and the proposed course of action. It’s the key problem faced by the company and the action plan to solve it.
- **Situational analysis** examines the environment in which the company operates and identifies the target markets in which it competes. This involves:
 - Company overview (strategic goals and current progress towards said goals, core competencies and strategic assets, and its portfolio of offerings)
 - Market overview (markets in which the company currently operates and could potentially target)
 - Target customers who the company will tailor its offerings to
- **The action plan** that outlines the proposed course of action to create value for its target customers. The action plan comprises:
 - **Goal section:** Identifying the desired outcome that the company aims to achieve, with specific quantitative and temporal benchmarks to characterize this outcome.
 - **Strategy section:** Outlines the blueprint for achieving the company’s goal. This involves describing the target market and designing the offering’s value proposition.
 - **Tactics section:** Delineates how the desired strategy is translated into a set of specific actions. This defines the seven key decisions that

managers need to make in terms of product, service, brand, price incentives, communication, and distribution.

- **Implementation section:** Outlines the organizational infrastructure, business processes, and scheduling aspects of executing an offering's strategy and tactics.
- **Control section:** Indicates the procedures employed in evaluating the company's performance and analyzing the environment in which it operates.
- **Exhibits** help streamline the logic of the marketing plan by separating the less important/more technical aspects of the plan into a distinct section in the form of tables, charts, and appendixes.

Goal

Without a well defined goal, you cannot design an effective marketing strategy or evaluate the success of your current activities.

Need focus and performance benchmarks to decide goal properly. Focus identifies the key criterion for success. Common ones are market share and net revenue for example. Usually broken down by an internal focus, and a customer focus (increasing purchase frequency, increase net revenue). Benchmarks define the quantitative and temporal aspects of a goal. Quantitative is specific milestones achieved, temporal is the time range for achieving them.

Strategy

Strategy is the plan of action aimed at achieving the company goal. It involves identifying a target market, and the offering's value proposition. Target customers are typically defined by the needs and problems that you aim to solve/fulfill with your product. It determines the core competencies and assets that you need to solve the problems for the user, and the specific context factors pertinent to the chosen target segment. **Identifying target customers involves two decisions: Selecting which customers to serve and identifying actionable strategies to reach those customers.** Selecting which customers to serve (strategic targeting) is guided by the offering's ability to fulfill customer needs (Target customers are chosen based on their underlying needs). Customer needs, however, are not readily observable, so you must also identify a set of observable characteristics that can be used to reach customers whose needs you aim to serve. This concept (tactical targeting) typically involves identifying demographic (age, gender, income), geographic (country, region, postal code), psychographic (personality traits, values, lifestyle), and behavioral factors (purchase frequency, purchase quantity, and price sensitivity). This way you can actually identify the needs of the customer, then infer using research what kind of observable characteristics they may have, then finding the right sales channels/places to frequent/traits to target on digital advertising become a lot simpler. Developing a value offering then involves defining the value that the offering creates for its target customers. Developing a value offering largely involves developing a positioning strategy, which singles out the most important aspects of an offering's value proposition. This creates a distinct image in the customer's minds that sticks with them for a long time. This is like the hits in a setlist. You need to be able to identify what aspect of who you are is REALLY important, the most important, to your target market, so you can be remembered easily and stand out in that way from other unfocused companies.

Segmenting a market too far indicates you are splitting up the "receivable market" by non essential differences, losing cost effectiveness and market size in the process. Segmenting too largely or using the wrong metrics may cause you to spend too much time attempting to sell to people who don't even need your product to begin with. THE NUMBER ONE KEY to segmentation is finding the correct bottleneck traits that effectively split the market into segments that respond as a group to your marketing offers, and finding the group that responds by

purchasing and using your product on a daily basis is the segment you are looking for.

Segments should be mutually exclusive and collectively exhaustive. This means that they include all customers in a given market, and the total given market is segmented into sections that do not overlap in terms of response to offerings.

There are two types of criteria used to divide customers into segments:

- 1. Value sought by customers:** Groups customers based on their NEEDS and the benefits they seek from your offerings. Needs can involve FUNCTIONAL factors (like quality, performance, aesthetics, reliability, durability, and safety), MONETARY factors (pricing, financing, and promotion preferences), and PSYCHOLOGICAL factors (image, social status).
- 2. Profile Based Segmentation:** Groups customers using their readily observable characteristics
 - a. Demographic profile: Age, gender, income, education, social status, stage in life cycle
 - b. Geographic profile: Location identifiers like country, region, city, postal code, area code. Can also include cyberspace like frequented sites, forums, IP addresses, web history, and email.
 - c. Psychographic profile: Relatively stable individual traits like personality, moral values, lifestyle
 - d. Behavioral profile: The way the customers react to the company's offering. This includes user status, distribution channel used, volume purchased, frequency of repurchase, price sensitivity, promotion sensitivity, and loyalty.

Value based segmentation is the underlying strategy of user needs, profile based segmentation is how you identify effective communication and distribution strategies for the previously created value-based segments.

Three kinds of customer value:

1. Functional value: The benefits and costs directly related to an offering's performance.

2. Monetary value: Monetary benefits and costs associated with the offering.
3. Psychological value: Psychological benefits and costs associated with the offering. Emotional benefits, social status, lifestyle, etc...

The relative importance of these categories in terms of each other is dependent on the type of customer need fulfilled by the offering.

For offerings that serve primarily utilitarian functions, functionality is PARAMOUNT. In commoditized categories, price tends to be the dominant criterion. In categories such as luxury and high-end fashion with high subjectivity and self-expressive mediums, the psychological value conveyed is actually the PRIMARY concern for users.

Only attributes that are relevant to customer needs can create competitive advantages. Differentiating on attributes that are irrelevant and add no value to consumers does not lead to a competitive advantage, and actually decreases value.

An offering's competitive advantage is typically defined by points of difference and points of parity. Points of difference are attributes that are relevant to target customers and on which the company's offering is perceived to be different from that of its competitors. There are competitive STRENGTHS, and competitive WEAKNESSES. Strengths are where the offering dominates the competition in an area, weakness is when the offering is inferior to another product. It is about the differences AS PERCEIVED by the CUSTOMER, not simply differences in the offering for the sake of being unique. Points of parity are attributes on which an offering's performance matches the attributes of the competition. These are when offerings have points where they are seen by consumers as having basically identical quality in an important area. A good goal is to develop offering that have multiple strengths on key attributes FOR THE CONSUMER, points of parity in some other important attributes (consistent as the other guys in these areas, better in this KEY WAY), and as few weaknesses as possible on important points.

Positioning is VERY important. It is basically the difference that the user remembers about you most STRONGLY, the key point of differentiation from all the other players in the space. What makes YOU uniquely great? This is the process of creating a distinct image in the customer's mind of the offering. Positioning presents the advantages of the offering in a way that accentuates its key

benefits to the point of having the customer choose YOUR company over the others. The more relevant this thing is, the more differentiated it is in terms of being more qualitative, the BETTER it can be at serving the user.

To develop a positioning strategy requires: 1. Defining the reference point used to position the offering and 2. Identifying the primary source of the offering's value.

For the frame of reference, there are two kinds of framings you can use:

Noncomparative framing directly relates the value of the offering to customer needs WITHOUT explicitly contrasting it to other competitor's offerings.

Comparative frames describe the offering by explicitly contrasting with other offerings.

There are three common types of non-comparative frames defined here:

- **Need-based framing:** Benefits of the offering to an identified customer need
- **Category-based framing:** Linking to an already established product category
- **User-based framing:** Defines the offering by linking it to a particular type of user.

There are two common types of comparative frames defined here:

- **Differentiation-based positioning:** Positioning the offering based on a superior key attribute compared to a competitor's offering
- **Similarity-based positioning:** Aims to show a lack of differentiation between the offering and a competitor's offering. This is usually used by smaller, more niche businesses trying to take market share or establish a place in the market through showing they are on a similar quality level to the big fishes.

You should determine which benefit is the primary reason for customers to choose your product, and rank the benefits for the customers in order of their effect on purchasing decision. Understanding even the top 5 attributes that customers care about will help you create better products the competitors can't touch.

People do not evaluate offerings based on their actual attributes but based on the expected subjective utility of these attributes for THEM personally. It's all about perceived utility for the target customer.

There are three MAJOR properties to the value function in terms of how users perceive value of an important attribute:

1. **Reference-point dependence:** Subjective value is not inherent in the offering. It is determined in terms of changes from a reference point, such that its advantages are framed as losses, and its advantages as gains. When comparing the processing power of a computer, they will compare it to a reference point (like their current computer).
2. **Diminishing marginal value:** An increase in an offering's performance on a given attribute will yield greater perceived value when the initial level of this attribute is low rather than already high.
3. **Loss Aversion:** The value function is much steeper for losses than it is for gains. Losses are exaggerated relative to corresponding gains.

Sales growth is an essential component of the effort to achieve sustainable profitability. There are two basic strategies for managing sales growth: Increasing the rate of adoption of a company's offering by new customers and increasing the offering's sales to existing customers.

To identify a good strategy for increasing sales volume, it's important to understand the process by which target customers adopt new products, then identify the impediments to new product adoption in different stages of the process, and finally develop an action plan to remove those impediments.

Product adoption can be viewed as a multi-stage process comprising a sequence of four steps: Awareness, Attractiveness, Affordability, and Availability.

This view implies that for customers to adopt an offering, they should be AWARE of its availability, find its benefits ATTRACTIVE, PERCEIVE the offering as AFFORDABLE, and have ACCESS to the offering. Because the number of potential customers who ultimately purchase the offering tends to decrease with each step, the steps in this process are referred to as the adoption funnel.

- **Awareness:** Reflects customer's knowledge that the offering is available. Awareness is generated by communications, whether those are direct from the company, through a collaborator, third parties, or word of mouth.
- **Attractiveness:** Attractiveness implies that buyers are not only aware of the offering, but also understand AND value its benefits. An offer is attractive to

a target customer if it satisfies an important need better than the competitors.

- **Affordability:** Reflects customer's perceptions of the costs associated with the offering and their ability to cover these costs. Affordability (costs) and Attractiveness (benefits) determine the overall value (utility) of the offering to target consumers. Affordability related to monetary costs is often the key impediment to adoption of an offering in financially strained demographic areas.
- **Availability:** The degree to which customers have access to the offering. Availability is a function of the density of the distribution channels catering to a given customer segment.

The other approach besides increasing product adoption by new customers involves increasing its consumption by current customers. Most purchases are recurring in nature, so managing recurring consumption can have significant impact on sales volume. The total quantity of offerings purchased over time by individual customers depends on several key factors, including overall satisfaction with the offering, frequency by which they use the offering, quantity used on each usage occasion, frequency of replacement, and the availability of the offering.

- **Satisfaction** reflects customers' experience of the offering. Unlike the attractiveness stage in product adoption, which is based on the EXPECTATIONS of the offering's value, satisfaction reflects the postconsumption evaluation, the actual customer EXPERIENCE with the offering.
- **Usage frequency** reflects the number of occasions on which the offering is used.
- **Usage quantity** is particularly relevant when customers determine the quantity consumed on each occasion.
- **Replacement frequency** is particularly relevant in cases of unit based products such as cars, printer cartridges, water filters, and razor blades, where customers determine when to replace the item.
- **Availability** indicates whether customers have a replacement at hand or can conveniently repurchase it.

A practical approach to managing usage calls for identifying and eliminating impediments at the different stages of the repurchase process. This can be achieved by analyzing the consumption process.

Customer management involves a company's activities aimed at retaining and growing its user base. The development of a successful customer management strategy requires understanding the value that each customer brings to the company and designing strategies to create value for these customers.

Customer management aims to identify the optimal balance between the value created by the company for its target customers, and the value created by these customers for the company. Because customers vary in the value they create for the company, companies often prioritize developing superior offerings for customers with higher profit potential. Accordingly, the goal is to assess the profit potential of a company's customers and modify the company's offering to reflect the value of these customers for the company.

When evaluating the viability of targeting a particular customer segment, ask yourself: Can the company create superior value for these customers? Can these customers create value for the company and its collaborators? The first question is determined by the degree to which the company's core competencies and strategic assets are aligned with the needs of target customers. The answer to the second question is determined by customers' lifetime value; the monetary and strategic value customers are likely to create for the company during their tenure. The monetary aspect of lifetime customer value is commonly referred to as customer equity.

Customer equity goes beyond the current profitability of a customer, and extends to the entire stream of profits that a company is likely to receive from this customer.

Direct value is the most traditionally valued focus of customer equity, since it is observable and measurable. Communication value is also becoming highly valued, as social influence, peer-to-peer communication, and social media grow a larger role in society.

Customer loyalty is important. Three strategies for building it are retention-driven targeting, balancing acquisition and retention, and product-line retention.

Retention driven targeting: Creating a loyal customer base starts with selecting the “right target customers. Identifying loyal customers starts before developing a customer acquisition strategy, since the goal is to cultivate a loyal customer base. Retention driven targeting starts with identifying target customers whose lifetime value fits the company goals and has a need that the company can fulfill. Then it involves designing an offering that creates value by minimizing short term incentives and ensuring the sustainability of the strategy. Finally, develop an acquisition strategy targeting high-value customers whose lifetime value is aligned with the company’s strategic goals. Development of an acquisition strategy is the last step, and should not occur until after the company identifies the high-value customers and develops a sustainable value proposition for them.

Retention → Targeting → Acquisition NOT Targeting → Acquisition → Retention

Tactics

Tactics are specific activities employed to execute on a given strategy. In marketing, tactics are defined by seven key elements:

- **Product**
- **Service**
- **Brand:** Goal is to create a unique set of associations that enrich the offering's value beyond its products or services
- **Price**
- **Incentives**
- **Communication:** Inform current and potential buyers about the offering (brand, product, service, incentives, distribution)
- **Distribution:** The channels through which customers receive the offering. This includes distribution of the product itself, where they receive services, where they interact with communications and incentives (radio, print, television, point of sale, personal selling, online)

Developing these 7 marketing tactics are the process of designing, communicating, and delivering value.

MARKETING TACTICS

Tactics outline a set of specific activities employed to execute a given strategy.

Product and service depict the functional characteristics of an offering.

Brand serves to identify the offering, differentiate it from the competition, and create value that goes beyond its product and service attributes.

Price reflects the monetary aspect of the offering. It refers to the amount that the company charges for an offering's benefits.

Incentives offer short term solutions aimed at enhancing the value of the offering by providing additional benefits and/or reducing costs.

Communications aim to inform target customers about the availability of the offering and highlight its key aspects as related to the perceived utility of the offering to the user.

Distribution depicts the channels through which the offering is delivered to target customers.

Product and service management is optimizing the value that a company's products deliver to the target users. Product and service attributes can be classified into three categories based on uncertainty:

- **Search:** Typically identifiable through inspection before purchase, low amount of uncertainty.
- **Experience:** Revealed only through consumption, these carry greater risk for the user.
- **Credence:** Quality is not even truly revealed after consumption, carries the greatest risk of uncertainty for the user.

Basically, Credence is something that takes a long time to work, like a weight loss program. Experience is something you can immediately tell, like the taste of food, and search attributes are something you can inspect BEFORE consuming (size, etc)

Creating and managing products and services involves determining the:

- **Performance**
- **Consistency**
- **Reliability**
- **Durability**
- **Compatibility**
- **Ease of use**
- **Technological design**
- **Degree of customization**
- **Form**
- **Style**
- **Packaging**

All of these should be determined to best fit the target user's needs and problems. They should serve the customer first and foremost.

Brands benefit customers by creating value that goes beyond the product and service characteristics of the offering. Brands help to differentiate the offering in two main ways:

1. **Creating a unique brand identity:** Includes identifying characteristics of the brand like name, logo, symbol, character, slogan, jingle, product design, and packaging. Brand identity elements should conform to the core meaning and values of the brand, *always*. Brand elements should be unique, likable, memorable, and consistent.
2. **Associating the brand with a meaning that resonates with potential buyers:** The brand meaning reflects the brand-related perceptions and beliefs held by the buyers. The meaning of the brand dually affects the customer's perception of an offering's value/utility by signaling the quality of the products and services of the brand, and also by creating additional emotional, social, and self-expressive benefits past the actual functions and features of the product and/or service.

A brand's identity can exist independently from its target customers, but a brand's meaning exists primarily in the minds of the buyers.

Pricing is critical. The value of the product is offset by the price of the product. The more you raise the price, the more value you usually need to provide for the net value of the offering to be positive. But price is the only marketing variable that produces revenue for the business, so it's crucial to determine a price that provides value to the customer while allowing the business to grow, so that we can serve even more users with even better products and services.

This book lists three popular approaches to pricing:

1. **Cost-based pricing:** Setting prices using the company's costs as a benchmark. In extreme cases, cost-plus pricing is determined by adding a fixed markup to the cost of an offering.
2. **Competitive pricing:** Using competitor's pricing as benchmarks. A common use is competitive-parity pricing, which involves setting the offering's price in a way that puts it at parity with that of the competitors.

3. Demand pricing: Calls for setting prices based on customer's willingness to pay for the benefits afforded by the offering.

Attractive and unique products and services command higher prices compared to less differentiated offerings. Price is also a function of the offering's brand, and strong brand command substantial price premiums over weaker brands. Price can also be influenced by communication, like Subway's 5\$ foot long.

Setting the optimal price is driven by the size of the target segment, customer price sensitivity, and the psychological aspects of the customers' response to the offering's price.

Sales volume is a function of price, and the company has to determine the price that will balance sales growth with adequate revenue/profit. There are two core strategies for pricing: Skim pricing and penetration pricing:

- **Skim Pricing:** Setting a high price to “skim the cream” off the top of the market, represented by customers who value the offering and are willing to pay a relatively high price for it. SKIM PRICING SETS OUT TO MAXIMIZE PROFIT, AT THE EXPENSE OF MARKET SHARE. Use skim pricing in the following cases, by your judgement, when:
 - Demand is relatively inelastic and lowering the price isn't likely to substantially increase sales volume
 - There is little to no competition for the target segment
 - Cost is not a direct function of volume and savings are not achieved as cumulative volume increases
 - Being the market pioneer is not likely to result in a sustained competitive advantage
 - The company lacks capital required for large-scale production
- **Penetration Pricing:** Setting the price relatively low in an attempt to gain greater sales volume and market share, at relatively low margins. It is more appropriate to use penetration pricing when:
 - Demand is relatively elastic, lowering the price is likely to substantially increase sales volume
 - The target segment becomes increasingly competitive

- Cost is a function of volume, and significant savings are expected as volume increases
- Being the market pioneer is likely to result in a sustainable competitive advantage

Typically, sales volume is inversely related to price. Lowering the price results in an increase in the sales volume, and vice versa. The degree to which changing the price influences sales volume is a function of customer's price sensitivity. Lowering price to increase volume is most effective when demand is elastic, meaning a small change in price leads to a large change in sales volume. In cases where demand is inelastic, profits can be increased by raising prices since a decrease in sales volume is likely to be relatively small with price changes.

The price-quantity relationship is quantified by in terms of an offering's price elasticity. Price elasticity is the percent change in quantity sold relative to the percentage change in price for a given product or service. Price elasticity of -2 means that a 5% price increase will result in a 10% decrease in the quantity sold. If price elasticity is greater than one (absolute value) demand is said to be elastic in the sense that a change in price causes a larger change in quantity demanded. When the price elasticity is less than one, price demand is said to be inelastic, meaning a change in price results in a smaller change in quantity demand. 1 means equal. Customers do not evaluate prices objectively. The reaction to an offering's price depends on a variety of psychological factors. The most common psychological pricing effects are:

- **Reference-price effects:** People often evaluate the price of an offering relative to other prices, which serve as reference points. These references can be internal (a remembered price from a prior purchase occasion, or external (a readily available price of a competitive offering). By strategically choosing the reference price, a company can frame the price of its offering in a way that makes it more attractive, by comparing it to a more expensive competitive offering.
- **Price-quantity effects:** People are more sensitive to changes in price than to changes in quantity. People would rather pay a higher per unit price through reduction of items, than a lower per unit price with a higher overall price tag.

- **Price-tier effects:** People encode prices in tiers, such that an item priced at 1.99 is encoded into the \$1+ tier, while 2.00 is encoded into the \$2+ price tier.
- **Price-ending effects:** Customer's perception of price is also due to price ENDINGS. Prices ending in "9" often create the perception of discount, while prices ending in 0 tend to create the perception of quality.
- **Product-line effects:** Relative prices within a product line can influence perceptions of offerings. Restaurants often price wine they want to get rid of as SECOND cheapest, as customers are often embarrassed to select the cheapest wine.

Communication aims to inform the market about the specifics of a company's offering.

Advertising can be broken down simply. Advertising is simply saying to people: "Here's what we've got. Here's what it will do for you. Here's how to get it."

The most important change in advertising is its evolution from mass media formats to one-on-one communication. Another important change involves the switch from company-led communication to customer-driven social media interaction.

Customers receive an increasing amount of information about the offerings not from the companies but from other customers. It is incredibly important to use a systematic approach to designing and implementing a communication campaign.

The choice of target customers plays an important role in managing communications. For customers not familiar with the offering, communication aims to create awareness. For customers already aware of the offering, communication aims to strengthen their preferences and impel them to purchase the offering.

Communication is also a function of the offering's brand, and the message, media, and creative aspects should fit the identity and meaning of the brand.

Managing communication involves six key decisions. These decisions are:

- **Goal:** Identifies the criteria to be achieved by the communication campaign within a given time frame.
- **Message:** Identifies the information to be communicated to the target audience. The message should involve one of the marketing tactical variables (product, service, brand, price, incentives, and distribution).
- **Media:** The means used by the company to convey its message (budget, media type, scheduling).
- **Creative Solution:** The execution of a company's message. Some key aspects include type of appeal used in the campaign (information, humor, fear) and execution style (text, format, layout).
- **Implementation:** The logistics and timeline for executing the message, media, and creative decisions.
- **Control:** Evaluating the success of the communication campaign with respect to its goals.

Setting a communication goal takes identifying the focus, and the performance benchmarks. The focus involves setting the ultimate criterion for success. There are common three foci for any given communication campaign:

- Create and raise awareness of the company's offering
- Create and strengthen buyer preferences for the company's offering
- Incite an action such as purchasing the offering or contacting the company for information

The benchmark of a goal provides measurable criteria for success, as well as a time frame for reaching that criteria.

Including different tactical variables like product, service, price, etc... requires the message to adapt to serve the purpose of the communication.

- Product or service messages inform target customers of the characteristics of the company's products or services
- Brand-related messages focus on identity and the meaning of the company's offering or brand. These are about building the emotional/mental connection to the company.
- Price-related messages communicate the price
- Distribution-related messages highlight the offering's availability in distribution channels

The key principle when designing the message is that it should focus on the aspects of the offering that are likely to have the greatest impact on the goal. If customers are unaware of the benefits of the offering, the message should focus on its product and service aspects. If customers are unaware of the offering's availability/where to find it, the message should focus on distribution.

The media decision involves deciding on the communication budget, selecting the type of media used, and setting a communication timetable.

- **Budget:** It's important to select a budget first, because your budget often determines the type of media you will use. You can't do mass media TV ads if your budget is \$2000. Determine the budget based on an estimate of the resources required to achieve the company's strategic goal. This takes into account factors like number of customers reached through single exposure to the company's message per media dollar spent and the average number of exposures necessary to create awareness.
- **Media type:** Media type involves the means used by the company to convey its message. Popular types include:
 - **Advertising:** Nonpersonal communications in which the company develops the message and absorbs most or all of the media costs. Think more along the lines as mass market, widespread here, not quite targeted ads.
 - Audio-visual (television, radio, film, social media)
 - Radio
 - Print (promotional brochures, advertisements in newspapers, search, banner ads, etc...)
 - **PR and social media:** Communications by third parties that are not directly controlled by the company. The aim with PR is to encourage third party (opinion leaders, influencers, press) to promote the offering. Since the third party has less vested interest in the company than the company itself, public relations communications from third parties are viewed as more credible to consumers as compared to communications from the company.

- **Direct marketing:** Individually targeted communications designed to elicit a direct response. (Catalogs, direct mail, email, SMS, telemarketing, online advertising).
- **Personal selling:** Direct, typically face to face interaction with customers and sales people.
- **Event sponsorship:** Sponsoring events and activities of interest to the offering's target customer. A form of event sponsorship is a product placement, where the sponsor secures the rights to embed its offering into a particular form of entertainment, such as a sports event, television show, movie, etc...
- **Product-based communication:** Embedded in the product itself such as product labels, signs, and packaging.
- **Product samples and free trials:** Product samples and free trials enable customers to experience product benefits directly. Samples and free trials are often used in product introductions to encourage customers to try the offering.

The allocation of resources across different media types is function of the effectiveness and cost efficiency of each media format with respect to its ability to communicate the desired message. Once the allocation of resources is decided in terms of which media types will be used for communications, and how much of the budget will go to said media types, you must also determine which channels will be used within the media types. What time of day, audience, foot traffic, etc... should be exposed to your message for the highest impact possible?

- **Media scheduling:** Deciding the media scheduling involves identifying the pattern of communication, its reach, and frequency.
 - The PATTERN of communication can be continuous, concentrated, or intermittent. Continuous communication (also known as *flighting*) involves allocating exposures evenly throughout individual periods within a given time frame. Concentrated communication involves allocating the majority of exposures in a single period. Intermittent communication (also known as *pulsing*) involves alternating periods with high and low (or no) levels of advertising. The decision to use a particular timing format is a function of the characteristics of the

company's offering and the pattern of product adoption/usage by target customers.

- The FREQUENCY reflects the number of times target customers are exposed to a particular message over a given period. The number of exposures necessary for the company's message to register in a customer's mind is a function of factors (communication goals, novelty of the offering, the type of media, the creative solution used to generate awareness, and customers' level of involvement when viewing the advertisement. IN SOME CASES, a single exposure could be sufficient, but most often multiple exposures are required to achieve communication goals.
- The REACH reflects the number of target customers that are exposed to a particular message at least once in a given period. Reach is typically a function of the size of the target market: The larger the market, the more reach you have.

The creative solution involves translating the company's message into language of the selected media format. Creative solutions vary on two main factors: their appeal and execution style.

- **Appeal:** Refers to the approach used to communicate the company's message. They usually involve at least either an information-based or an emotion-based appeal. Information based appeals rely on methods like factual presentations (straightforward presentation of the relevant information), demonstrations (illustration of the offering's key benefits in a staged environment), slice-of-life stories (illustration of the offering's key benefits in every day use), and testimonials (praise by an individual based on his or her experience with the offering and endorsements by ordinary users or celebrities). Emotion-based appeals typically play on emotions like love, romance, humor, and fear. Some communication campaigns use a combination of the two approaches to achieve maximum impact.
- **Execution style:** The method used to convey a particular appeal using the language of the selected media format. Style decisions are media-specific. Print would be selecting fonts, wording and copy, graphics, photos, etc... Social media ads would have a different formatting like length, music, effects, wording, imagery, cinematography...

A VERY important aspect of developing the communication campaign is keeping the balance between the marketing message and the entertainment component of the creative solution. Because of ever-growing competition to capture attention from buyers, companies are tempted to develop overly creative campaigns. But this is a major mistake, communication creativity should never be achieved at the expense of content. First and foremost, the message, the purpose of the communication, should ALWAYS come first. Advertising is not an entertainment medium, it is a medium of conveying information and value as effectively as possible. A good advertisement sells the PRODUCT without drawing attention to itself.

The implementation of a communication campaign involves setting up the necessary infrastructure to execute the campaign. Setting up the processes necessary to execute the message, media, and creative, and outlining the implementation schedule.

- **Organizational infrastructure:** Identify the relevant collaborators (advertising, PR, and social media agencies) and forming a team to manage the campaign.
- **Processes:** Identify the specific actions to be taken during preproduction (technical aspects of the message, media, and creative solution), production (filming, videotaping, recording, or printing of the advertisement), postproduction (editing, duplicating, ensuring legal compliance, client approval), and distribution (airing, printing, and shipping)
- **Scheduling:** Decide the timing and optimal sequence in which individual tasks should be performed to ensure effective execution of the communication campaign.

There is no real, figured out way to measure the effectiveness of communications, because their effects are pretty unpredictable, and often latent factors produce results in terms of the exposed market that aren't directly measurable. Companies use diverse criteria to measure the effectiveness of campaigns. Six common ones are:

- **Exposure:** The number of times an advertisement has been seen by the target audience.

- **Comprehension:** The degree to which the audience understand the message embedded in the advertisement.
- **Recall:** The degree to which an audience member remembers an advertisement.
- **Persuasion:** The degree to which the advertisement is able to strengthen or change preferences of the target audience.
- **Intent:** The customer's mental disposition to act favorably toward the offering after receiving the communication.
- **Behavior:** The impact of an advertisement on respondents' actual behavior. This is typically measured by number of sales, sales inquiries, and website visits.

The problem with relying on customers' behavior as a measure of effectiveness is that most often the impact of communication is not immediate (especially in brand-building communications). A more meaningful approach to measure the effectiveness of a communications campaign is to take into account three factors:

- **Goal of the campaign:** If the communication goal was to create awareness, then measure with exposure, comprehension, and recall. If it's to strengthen preferences, then persuasiveness should be measured most closely. If the goal is to incite action, then behavior is the best measure.
- **Communication message:** Evaluating the effectiveness of the campaign also depends on the type of message. Incentive communications tend to increase sales immediately, while brand-building often takes time to develop into sales. As a result, using sales as a benchmark of effectiveness is likely to underestimate the role of incentive-focused communication.
- **Media format:** Measuring the effectiveness of a campaign also largely depends on the particular media format. In cases where the media is not directly linked to public performance, public relations and event sponsorship, then awareness and preference are good performance indicators. In cases where media are directly linked to performance measures (direct marketing, personal selling, click-through advertising), then actual behavior can be used to evaluate the effectiveness of the communication campaign.

Balancing customer acquisition and customer retention: Most companies spend a large portion of their promotional budget on acquiring new customers rather than trying to retain their existing ones. This customer-rotation strategy is based on the assumption that newly acquired customers have the same value to the company as its current customers. Defection rates of 10 to 30 percent per year are not unusual. There are some advantages to investing in retaining current customers:

- Lowering customer attrition helps lower the company's expenses due to reduced acquisition costs and lower costs involved in serving current customers.
- Customers familiar with the company are more likely to adopt other products and services offered by the company.
- Loyal customers are the best advocates, promoting the company's products and services and bringing in new customers (higher communication value)

These definitely underscore the fact that having loyal customers is important. Whether the majority of communications and promotionals should be spent on retention, however, is a question that goes unanswered.

Product-line retention strategies: One of the key causes of customer defection is the inability of the company's offering to fulfill customer needs. This is either a result of changes to the offering that diminishes its value to the customer, or due to the fact that the customer's needs have changed over time. Customer needs do not just vary across segments, but also across time. To fulfill the evolving needs of a company's customers, a company's offering must also evolve to align its value proposition with customers' needs. The retention focused view of product-line management is a departure from the conventional view of new product introduction as a means to acquire new customers. It has some pros, and some cons. This author is very convinced that because acquisition of new customers is more costly than retaining existing customers, the better strategy is to use a good percentage of resources to retaining existing customers. This seems in the early stage to limit growth, but also calls for more sustainability than the "Double Jeopardy" approach which says you will gain more loyalty MORE inherently if you gain more market share, than if you focused on existing customers. The balance of both is a good decision, and the amounts of resources allocated to either or is up to the judgement and data presented in any given situation.

The customer equity pyramid is a strategy that uses the pareto principle to its advantage. It splits customers into the top 20%, and the bottom 80%. It then claims that focusing retention tactics on the top 20% will yield the best results due to the pareto principle. This may be useful in certain circumstances, but the pareto principle has limitations.

New products and services are the key to sustainable growth. They enable the company to gain and sustain market position by taking advantage of changes in the market to create superior customer value.

New products can be split into two categories: New to the company, and new to the world products. New to the company is something the company is doing that the target market has already adopted to an extent. New to the world products are products that are novel to the company AND the target customers (inventions, innovations, novel ideas). Depending on the novelty to target customers, new to the world products are can either be extensions of an existing category or can create their own category. Category extensions involve variants of existing offerings (new color, size, design, UI/UX, etc...) while new category offerings involve products and services with a fundamentally different value proposition that extends beyond existing categories. So categories are basically value propositions for a certain need.

Managing new products calls for understanding how customers adopt products, AKA diffusion of innovations. The pattern of diffusion is influenced by two factors: Size of the potential market (the number of users that will ultimately adopt the innovation) and speed of diffusion (the time frame for reaching the inflection point where growth slows and begins to decline). When observing non cumulative product adoptions, the Rogers' and Moore's Models are used to identify stages of product adoption.

Not all innovations follow the normal bell-curved adoption distribution. Some are adopted very rapidly whereas others take a substantial amount of time to achieve their peak. The speed at which customers adopt a new offering is a function of the

value provided by the offering. Several factors are highly correlated with the likelihood of adoption by users:

- Inherent value of the offering
- Relative advantage of an offering over the product it replaces
- Transparency of the relative advantage (advantage must be readily observable and able to be experienced by customers)
- Compatibility with customers' existing systems
- Low perceived risk (uncertainty about preferences, product's future performance, and magnitude of risks associated with the new product)
- Amount of promotions activity and availability of the product across distribution channels

Communications associated with a new offering can be initiated by the company and by a third party. Company and collaborator communications typically precede third party communications, but sometimes third party communications can appear first for a new product, like in the case of facebook or google. Third party communications can both help and hurt new product adoptions. Offerings that appeal to customers are likely to generate positive word of mouth, and unattractive offerings can generate unfavorable third-party communications that may slow down the rate of adoption and decrease the market potential of the offering.

The product life cycle describes the general trend of products and services as they progress through different stages in the marketplace. Because the stages in the product lifecycle are characterized by different market conditions, different stages require different marketing strategies. In this context, the four key product life cycle stages are: Introduction, Growth, Maturity, and Decline.

During introduction, product awareness is low and there are very few competitors. As the product takes off during the growth stage, the number of competitors entering the market increases. At maturity, the number of competitors tends to peak, the market becomes saturated, and industry profitability starts to decline because of intensifying competition. Finally, the decline stage is characterized by falling demand for the product relatively low profitability, and a decreasing number of competitors stemming from consolidation and exit from the market.

Product strategies vary at different times in the product life cycle. At introduction, companies typically offer a single product targeted at the most likely adopters. As the product enters the growth stage, the company addresses growth by diversifying products to target more segments/subsets within the market as it grows. During maturity, the number of products a company offers hits a peak. Lastly, during decline, companies focus on their best-selling products and minimize the product line.

Communications also differ across the lifetime of a product. In the earlier stages, communication campaigns aim primarily at creating awareness among early adopters. As the product enters the growth stage, communication goals shift to creating awareness among the mass market while differentiating its offerings from competitors. In maturity most of the market is aware of the product, the communication focus shifts even more towards differentiation from competitors. This continues into decline, when communication spending largely declines.

An important aspect of product decisions involves managing the evolution of the company's products over time. Products are replaced, especially in tech and software, at a more and more rapidly increasing rate, so if a product does not evolve with the rest of the market, it will be swiftly left behind in exchange for better experiences. That's why it's important to be continuously searching for new areas of great interest for the customer base and evolve products to always reflect their current problems and needs.

Implementation

The implementation component of market planning is the logistics of executing the offering's strategy and tactics. It involves three major components: Defining the business infrastructure (the organizational structure by which the tactics will be carried out, what teams/individuals will handle what tasks, etc...), business processes (specific activities involved in designing and managing the offering, flow of information, goods, services, and money), and implementation schedule (the time frame in which tasks will be performed to ensure effective and cost efficient completion of the project). Generally this comes down to deciding what teams and individuals will handle what portions of the project, and how they will all communicate and act together to get it done WELL and FAST.

Controls

Identifying controls is critical so you can continuously evaluate performance and monitor changes in the environment. Marketing controls let you know how much progress you are making towards your goal through performance evaluation, and also makes sure you monitor the environment for changes that may affect your plan. You must then adjust your plan in certain circumstances to ensure that you are up to date with the relevant information at all times.

Managing product adoption calls for identifying and eliminating impediments at different stages of the adoption process. These impediments are called adoption gaps, and can be shown by mapping the dispersion of customers across different stages of the adoption process. The goal of this analysis is to provide a better understanding of the dynamics of the adoption process and identify problematic areas that require specific actions to solve. Basically, identify points of friction in the process where your customers drop off, and remove the friction points as much as possible.

Evaluating the largest areas of dropoff, by comparing the relative customer loss at each step above the norm, is the most important aspect for identifying points of friction in the adoption funnel. Gap analysis can be used to both pinpoint the problem spots in product adoption but also to identify specific solutions to close adoption gaps.

- **Awareness gaps** call for increasing awareness of the offering among target customers. This type of gap calls for increasing the effectiveness of company communications (by increasing communication spending, streamlining the message, developing a better creative solution, and using more effective media), collaborator communications (joint advertising) and fostering third-party communications that promote the offering (influencers, PR, social media, word of mouth)
- **Attractiveness gaps** call for improving the benefits of the offering. This is typically achieved by reformulating/redesigning the offering, which can involve permanent changes to the product, service, branding, and pricing aspects of the offering. Attractiveness gaps do not always imply that the offering lacks the benefits desired by target customers; they can also stem from the fact that buyers do not understand the offering's benefits. This can

be solved through product demonstrations, improving communication, and allowing the users to sample the product.

- **Affordability gaps** call for lowering the cost of the offering. Lowering monetary costs involve lowering the offering's price, adding monetary incentives, or redesigning the offering to improve its affordability. Affordability gaps may not mean that the actual costs of the offering are high; they might also result from customer's perception of the offering's actual costs. Such gaps in the customers' understanding of the offering's costs can be closed by communicating the costs of the offering in a way that leads to a more accurate perception of these costs.
- **Availability gaps** indicate that target customers do not have access to the offering. This could mean classes that overlap with school/work schedule, or a product being manufactured in too short a supply due to underestimated demand, etc... These are solved by ramping up production to meet demand, and improving the coverage of distribution channels to give target customers better accessibility to the offering, and improving channel operations to manage stock outs/low supply.
- **Purchase gaps** indicate that even though customers may find the company's offering attractive, affordable, and accessible, they have not purchased the offering within the time frame defined by the company's goals. This can result from the fact that customers have not formed the intent to purchase the offering in the near future or that they have formed an intent but have failed to act on it for time or budgetary constraint reasons. Closing purchase intent gaps typically involves introducing time-sensitive incentives such as short-lived price discounts, coupons, and financing options.

Evaluating the effectiveness of each stage offers a simple way to identify disproportionate drops in product usage. The most common solutions for closing usage gaps are:

- **Satisfaction gaps** call for improving the customers' experience with the offering. Depending on the cause, this might be enhancing the benefits and reducing the costs of the offering to make it more competitive, better aligning the offering's value proposition with changes in customer preferences, and adding variants to the offering's product line to reduce boredom and address variety seeking.

- **Usage-frequency gaps** call for increasing the frequency with which customers use the offering.
- **Usage-quantity gaps** call for increasing the amount of product that customers use on each occasion. One approach to increasing usage quantity is to educate customers about the optimal usage quantity. Usage volume can also be increased by designing the product in a way that ensures dispensing the optimal quantity per usage occasion.
- **Replacement frequency** calls for increasing the frequency with which to replace the product.
- **Availability gaps** call for ensuring continuous consumption without disruptions due to stock-outs or unavailability.

Because they deal with recurring purchases, consumption gaps often hold greater potential to increase sales volume than acquisition gaps. This is especially true for companies with a dominant position in the market because of a relatively large installed user base. Optimizing the consumption experience can have significant impact on the ability to grow sales volume.

Because of current technology, companies can track revenues and costs associated with customers in real time, allowing them to estimate the value of each customer precisely. Due to this data, companies can then segment its customer base according to customer profitability and to deliver a level of service based on a customer's equity. Customers with greater value to the company (profit potential AND strategic importance) receive superior benefits compared to less valuable customers.

A customer can create value for the company in at least three different ways:

1. By directly generating revenues and profits for the company through purchase of the company's products and services
2. By promoting the company's products and services to other buyers
3. By providing the company with information that can help increase the effectiveness and efficiency of its operations

Direct value reflects the monetary value received by a company from its transactions with a particular customer. A customer's direct value is typically

calculated as the difference between the revenues generated and costs incurred during a customer's lifetime, discount for the time value of money. Assessment of their value typically includes the following six factors:

1. Number of transactions during the customer's tenure with the company
2. Average transaction profitability
3. Customer acquisition costs
4. Customer maintenance costs
5. Customer retention costs
6. The discount rate (the interest rate used to determine the present value of future cash flows)

Communication value reflects a customer's potential to influence other buyers' behavior with respect to the company's offerings, often measured in terms of referrals generated by customers who share their experience with the company to influence other buyers. Communication value can be positive OR negative, so the goal is to maximize the number AND potency of positive referrals while minimizing the quantity and impact of negative referrals. Identifying methods for tracking and assessing a customer's social impact is a key challenge in developing quantifiable customer equity models.

Information value reflects the value of the information provided by a customer. This includes two types of information:

- **Customer-specific information** involves data about a customer's needs and profile that can help the company design, communicate, and deliver value to this customer, as well as to customers with similar needs.
- **Company-specific information** reflects customer feedback regarding the viability and effectiveness of the company's activities.

All Notes (Unsorted)

Strategic Marketing Management

“Marketing is the whole business seen from the point of view of its final result, from the point of view of the customer.” **SORT THIS BY G-STIC STRUCTURE**

The goal of marketing is to create a product that sells, not to sell a product.

Marketing is defined well as the art and science of creating value by designing and managing successful exchanges.

To save time and avoid always using trial-and-error approaches to familiar problems, it is sometimes helpful to use frameworks. Frameworks build on already existing generalized knowledge gained from solving previous problems, to facilitate future decision making. This isn't always great but can be helpful if you need to save time/encounter the same problem again and again and the solution works pretty well across time.

Cost of a product can sometimes be determined with the 5-C framework, defined as:

- Customer willingness to pay for the product
- Availability and pricing of competitive offerings
- Cost structure and profit goals of the company
- Margins of suppliers and distributors
- Economic, regulatory, and technological context

The practical value of a framework can be determined by two factors: The degree to which it addresses an important problem frequently encountered, and its ability to offer actionable solutions that produce better outcomes than trial and error testing.

Value optimization is the fundamental marketing principle.

G-STIC Framework: Set a goal, develop a strategy, design the tactics, define an implementation plan, identify a set of control metrics to measure the success of the proposed action.

Without a well defined goal, you cannot design an effective marketing strategy or evaluate the success of your current activities.

Need focus and performance benchmarks to decide goal properly. Focus identifies the key criterion for success. Common ones are market share and net revenue for example. Usually broken down by an internal focus, and a customer focus (increasing purchase frequency, increase net revenue). Benchmarks define the quantitative and temporal aspects of a goal. Quantitative is specific milestones achieved, temporal is the time rame for achieving them.

Strategy is the plan of action aimed at achieving the company goal. It involves identifying a target market, and the offering's value proposition. Target customers are typically defined by the needs and problems that you aim to solve/fulfill with your product. It determines the core competencies and assets that you need to solve the problems for the user, and the specific context factors pertinent to the chosen target segment. **Identifying target customers involves two decisions: Selecting which customers to serve and identifying actionable strategies to reach those customers.** Selecting which customers to serve (strategic targeting) is guided by the offering's ability to fulfill customer needs (Target customers are chosen based on their underlying needs). Customer needs, however, are not readily observable, so you must also identify a set of observable characteristics that can be used to reach customers whose needs you aim to serve. This concept (tactical targeting) typically involves identifying demographic (age, gender, income), geographic (country, region, postal code), psychographic (personality traits, values, lifestyle), and behavioral factors (purchase frequency, purchase quantity, and price sensitivity). This way you can actually identify the needs of the customer, then infer using research what kind of observable characteristics they may have, then finding the right sales channels/places to frequent/traits to target on digital advertising become a lot simpler. Developing a value offering then involves defining the value that the offering creates for its target customers. Developing a value offering largely involves developing a positioning strategy, which singles out

the most important aspects of an offering's value proposition. This creates a distinct image in the customer's minds that sticks with them for a long time. This is like the hits in a setlist. You need to be able to identify what aspect of who you are is REALLY important, the most important, to your target market, so you can be remembered easily and stand out in that way from other unfocused companies.

Tactics are specific activities employed to execute on a given strategy. In marketing, tactics are defined by seven key elements:

- **Product**
- **Service**
- **Brand:** Goal is to create a unique set of associations that enrich the offering's value beyond its products or services
- **Price**
- **Incentives**
- **Communication:** Inform current and potential buyers about the offering (brand, product, service, incentives, distribution)
- **Distribution:** The channels through which customers receive the offering. This includes distribution of the product itself, where they receive services, where they interact with communications and incentives (radio, print, television, point of sale, personal selling, online)

Developing these 7 marketing tactics are the process of designing, communicating, and delivering value.

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Identifying controls is critical so you can continuously evaluate performance and monitor changes in the environment. Marketing controls let you know how much progress you are making towards your goal thorough performance evaluation, and also makes sure you monitor the environment for changes that may affect your plan. You must then adjust your plan in certain circumstances to ensure that you are up to date with the relevant information at all times.

Typical marketing plan includes:

1. An executive summary that outlines the highlights of the marketing plan
2. A situation analysis that reviews the environment in which the company operates and identifies the target markets
3. An action plan that outlines the goal, strategy, tactics, implementation, and controls of the offering
4. Exhibits and research that provide additional information about specific aspects of the marketing plan

Segmenting a market too far indicates you are splitting up the “receivable market” by non essential differences, losing cost effectiveness and market size in the process. Segmenting too largely or using the wrong metrics may cause you to spend too much time attempting to sell to people who don’t even need your product to begin with. THE NUMBER ONE KEY to segmentation is finding the correct bottleneck traits that effectively split the market into segments that respond as a group to your marketing offers, and finding the group that responds by purchasing and using your product on a daily basis is the segment you are looking for.

Segments should be mutually exclusive and collectively exhaustive. This means that they include all customers in a given market, and the total given market is segmented into sections that do not overlap in terms of response to offerings.

There are two types of criteria used to divide customers into segments:

1. **Value sought by customers:** Groups customers based on their NEEDS and the benefits they seek from your offerings. Needs can involve FUNCTIONAL factors (like quality, performance, aesthetics, reliability,

durability, and safety), MONETARY factors (pricing, financing, and promotion preferences), and PSYCHOLOGICAL factors (image, social status).

- 2. Profile Based Segmentation:** Groups customers using their readily observable characteristics
- a. Demographic profile: Age, gender, income, education, social status, stage in life cycle
 - b. Geographic profile: Location identifiers like country, region, city, postal code, area code. Can also include cyberspace like frequented sites, forums, IP addresses, web history, and email.
 - c. Psychographic profile: Relatively stable individual traits like personality, moral values, lifestyle
 - d. Behavioral profile: The way the customers react to the company's offering. This includes user status, distribution channel used, volume purchased, frequency of repurchase, price sensitivity, promotion sensitivity, and loyalty.

Value based segmentation is the underlying strategy of user needs, profile based segmentation is how you identify effective communication and distribution strategies for the previously created value-based segments.

Three kinds of customer value:

1. Functional value: The benefits and costs directly related to an offering's performance.
2. Monetary value: Monetary benefits and costs associated with the offering.
3. Psychological value: Psychological benefits and costs associated with the offering. Emotional benefits, social status, lifestyle, etc...

The relative importance of these categories in terms of each other is dependent on the type of customer need fulfilled by the offering.

For offerings that serve primarily utilitarian functions, functionality is PARAMOUNT. In commoditized categories, price tend to be the dominant criterion. In categories such as luxury and high-end fashion with high subjectivity and self-expressive mediums, the psychological value conveyed is actually the PRIMARY concern for users.

Only attributes that are relevant to customer needs can create competitive advantages. Differentiating on attributes that are irrelevant and add no value to consumers does not lead to a competitive advantage, and actually decreases value.

An offering's competitive advantage is typically defined by points of difference and points of parity. Points of difference are attributes that are relevant to target customers and on which the company's offering is perceived to be different from that of its competitors. There are competitive STRENGTHS, and competitive WEAKNESSES. Strengths are where the offering dominates the competition in an area, weakness is when the offering is inferior to another product. It is about the differences AS PERCEIVED by the CUSTOMER, not simply differences in the offering for the sake of being unique. Points of parity are attributes on which an offering's performance matches the attributes of the competition. These are when offerings have points where they are seen by consumers as having basically identical quality in an important area. A good goal is to develop offering that have multiple strengths on key attributes FOR THE CONSUMER, points of parity in some other important attributes (consistent as the other guys in these areas, better in this KEY WAY), and as few weaknesses as possible on important points.

Positioning is VERY important. It is basically the difference that the user remembers about you most STRONGLY, the key point of differentiation from all the other players in the space. What makes YOU uniquely great? This is the process of creating a distinct image in the customer's mind of the offering. Positioning presents the advantages of the offering in a way that accentuates its key benefits to the point of having the customer choose YOUR company over the others. The more relevant this thing is, the more differentiated it is in terms of being more qualitative, the BETTER it can be at serving the user.

To develop a positioning strategy requires: 1. Defining the reference point used to position the offering and 2. Identifying the primary source of the offering's value. For the frame of reference, there are two kinds of framings you can use: Noncomparative framing directly relates the value of the offering to customer needs WITHOUT explicitly contrasting it to other competitor's offerings. Comparative frames describe the offering by explicitly contrasting with other offerings.

There are three common types of non-comparative frames defined here:

- **Need-based framing:** Benefits of the offering to an identified customer need
- **Category-based framing:** Linking to an already established product category
- **User-based framing:** Defines the offering by linking it to a particular type of user.

There are two common types of comparative frames defined here:

- **Differentiation-based positioning:** Positioning the offering based on a superior key attribute compared to a competitor's offering
- **Similarity-based positioning:** Aims to show a lack of differentiation between the offering and a competitor's offering. This is usually used by smaller, more niche businesses trying to take market share or establish a place in the market through showing they are on a similar quality level to the big fishes.

You should determine which benefit is the primary reason for customers to choose your product, and rank the benefits for the customers in order of their effect on purchasing decision. Understanding even the top 5 attributes that customers care about will help you create better products the competitors can't touch.

People do not evaluate offerings based on their actual attributes but based on the expected subjective utility of these attributes for THEM personally. It's all about perceived utility for the target customer.

There are three MAJOR properties to the value function in terms of how users perceive value of an important attribute:

1. **Reference-point dependence:** Subjective value is not inherent in the offering. It is determined in terms of changes from a reference point, such that its advantages are framed as losses, and its advantages as gains. When comparing the processing power of a computer, they will compare it to a reference point (like their current computer).
2. **Diminishing marginal value:** An increase in an offering's performance on a given attribute will yield greater perceived value when the initial level of this attribute is low rather than already high.
3. **Loss Aversion:** The value function is much steeper for losses than it is for gains. Losses are exaggerated relative to corresponding gains.

MARKETING TACTICS

Tactics outline a set of specific activities employed to execute a given strategy.

Product and service depict the functional characteristics of an offering.

Brand serves to identify the offering, differentiate it from the competition, and create value that goes beyond its product and service attributes.

Price reflects the monetary aspect of the offering. It refers to the amount that the company charges for an offering's benefits.

Incentives offer short term solutions aimed at enhancing the value of the offering by providing additional benefits and/or reducing costs.

Communications aim to inform target customers about the availability of the offering and highlight its key aspects as related to the perceived utility of the offering to the user.

Distribution depicts the channels through which the offering is delivered to target customers.

Product and service management is optimizing the value that a company's products deliver to the target users. Product and service attributes can be classified into three categories based on uncertainty:

- **Search:** Typically identifiable through inspection before purchase, low amount of uncertainty.
- **Experience:** Revealed only through consumption, these carry greater risk for the user.
- **Credence:** Quality is not even truly revealed after consumption, carries the greatest risk of uncertainty for the user.

Basically, Credence is something that takes a long time to work, like a weight loss program. Experience is something you can immediately tell, like the taste of food, and search attributes are something you can inspect BEFORE consuming (size, etc)

Creating and managing products and services involves determining the:

- **Performance**
- **Consistency**
- **Reliability**
- **Durability**
- **Compatibility**
- **Ease of use**
- **Technological design**
- **Degree of customization**
- **Form**
- **Style**
- **Packaging**

All of these should be determined to best fit the target user's needs and problems. They should serve the customer first and foremost.

Brands benefit customers by creating value that goes beyond the product and service characteristics of the offering. Brands help to differentiate the offering in two main ways:

1. **Creating a unique brand identity:** Includes identifying characteristics of the brand like name, logo, symbol, character, slogan, jingle, product design, and packaging. Brand identity elements should conform to the core meaning and values of the brand, *always*. Brand elements should be unique, likable, memorable, and consistent.
2. **Associating the brand with a meaning that resonates with potential buyers:** The brand meaning reflects the brand-related perceptions and beliefs held by the buyers. The meaning of the brand dually affects the customer's perception of an offering's value/utility by signaling the quality of the products and services of the brand, and also by creating additional emotional, social, and self-expressive benefits past te actual functions and features of the product and/or service.

A brand's identity can exist independently from its target customers, but a brand's meaning exists primarily in the minds of the buyers.

Pricing is critical. The value of the product is offset by the price of the product. The more you raise the price, the more value you usually need to provide for the net value of the offering to be positive. But price is the only marketing variable that produces revenue for the business, so it's crucial to determine a price that provides value to the customer while allowing the business to grow, so that we can serve even more users with even better products and services.

This book lists three popular approaches to pricing:

1. **Cost-based pricing:** Setting prices using the company's costs as a benchmark. In extreme cases, cost-plus pricing is determined by adding a fixed markup to the cost of an offering.
2. **Competitive pricing:** Using competitor's pricing as benchmarks. A common use is competitive-parity pricing, which involves setting the offering's price in a way that puts it at parity with that of the competitors.
3. **Demand pricing:** Calls for setting prices based on customer's willingness to pay for the benefits afforded by the offering.

Attractive and unique products and services command higher prices compared to less differentiated offerings. Price is also a function of the offering's brand, and strong brand command substantial price premiums over weaker brands. Price can also be influenced by communication, like Subway's 5\$ foot long.

Setting the optimal price is driven by the size of the target segment, customer price sensitivity, and the psychological aspects of the customers' response to the offering's price.

Sales volume is a function of price, and the company has to determine the price that will balance sales growth with adequate revenue/profit. There are two core strategies for pricing: Skim pricing and penetration pricing:

- **Skim Pricing:** Setting a high price to "skim the cream" off the top of the market, represented by customers who value the offering and are willing to pay a relatively high price for it. SKIM PRICING SETS OUT TO MAXIMIZE PROFIT, AT THE EXPENSE OF MARKET SHARE. Use skim pricing in the following cases, by your judgement, when:

- Demand is relatively inelastic and lowering the price isn't likely to substantially increase sales volume
- There is little to no competition for the target segment
- Cost is not a direct function of volume and savings are not achieved as cumulative volume increases
- Being the market pioneer is not likely to result in a sustained competitive advantage
- The company lacks capital required for large-scale production
- **Penetration Pricing:** Setting the price relatively low in an attempt to gain greater sales volume and market share, at relatively low margins. It is more appropriate to use penetration pricing when:
 - Demand is relatively elastic, lowering the price is likely to substantially increase sales volume
 - The target segment becomes increasingly competitive
 - Cost is a function of volume, and significant savings are expected as volume increases
 - Being the market pioneer is likely to result in a sustainable competitive advantage

Typically, sales volume is inversely related to price. Lowering the price results in an increase in the sales volume, and vice versa. The degree to which changing the price influences sales volume is a function of customer's price sensitivity. Lowering price to increase volume is most effective when demand is elastic, meaning a small change in price leads to a large change in sales volume. In cases where demand is inelastic, profits can be increased by raising prices since a decrease in sales volume is likely to be relatively small with price changes.

The price-quantity relationship is quantified by in terms of an offering's price elasticity. Price elasticity is the percent change in quantity sold relative to the percentage change in price for a given product or service. Price elasticity of -2 means that a 5% price increase will result in a 10% decrease in the quantity sold. If price elasticity is greater than one (absolute value) demand is said to be elastic in the sense that a change in price causes a larger change in quantity demanded. When the price elasticity is less than one, price demand is said to be inelastic, meaning a change in price results in a smaller change in quantity demand. 1 means equal.

Customers do not evaluate prices objectively. The reaction to an offering's price depends on a variety of psychological factors. The most common psychological pricing effects are:

- **Reference-price effects:** People often evaluate the price of an offering relative to other prices, which serve as reference points. These references can be internal (a remembered price from a prior purchase occasion, or external (a readily available price of a competitive offering). By strategically choosing the reference price, a company can frame the price of its offering in a way that makes it more attractive, by comparing it to a more expensive competitive offering.
- **Price-quantity effects:** People are more sensitive to changes in price than to changes in quantity. People would rather pay a higher per unit price through reduction of items, than a lower per unit price with a higher overall price tag.
- **Price-tier effects:** People encode prices in tiers, such that an item priced at 1.99 is encoded into the \$1+ tier, while 2.00 is encoded into the \$2+ price tier.
- **Price-ending effects:** Customer's perception of price is also due to price ENDINGS. Prices ending in "9" often create the perception of discount, while prices ending in 0 tend to create the perception of quality.
- **Product-line effects:** Relative prices within a product line can influence perceptions of offerings. Restaurants often price wine they want to get rid of as SECOND cheapest, as customers are often embarrassed to select the cheapest wine.

Communication aims to inform the market about the specifics of a company's offering.

Advertising can be broken down simply. Advertising is simply saying to people: "Here's what we've got. Here's what it will do for you. Here's how to get it."

The most important change in advertising is its evolution from mass media formats to one-on-one communication. Another important change involves the switch from company-led communication to customer-driven social media interaction.

Customers receive an increasing amount of information about the offerings not

from the companies but from other customers. It is incredibly important to use a systematic approach to designing and implementing a communication campaign.

The choice of target customers plays an important role in managing communications. For customers not familiar with the offering, communication aims to create awareness. For customers already aware of the offering, communication aims to strengthen their preferences and impel them to purchase the offering.

Communication is also a function of the offering's brand, and the message, media, and creative aspects should fit the identity and meaning of the brand.

Managing communication involves six key decisions. These decisions are:

- **Goal:** Identifies the criteria to be achieved by the communication campaign within a given time frame.
- **Message:** Identifies the information to be communicated to the target audience. The message should involve one of the marketing tactical variables (product, service, brand, price, incentives, and distribution).
- **Media:** The means used by the company to convey its message (budget, media type, scheduling).
- **Creative Solution:** The execution of a company's message. Some key aspects include type of appeal used in the campaign (information, humor, fear) and execution style (text, format, layout).
- **Implementation:** The logistics and timeline for executing the message, media, and creative decisions.
- **Control:** Evaluating the success of the communication campaign with respect to its goals.

Setting a communication goal takes identifying the focus, and the performance benchmarks. The focus involves setting the ultimate criterion for success. There are common three foci for any given communication campaign:

- Create and raise awareness of the company's offering
- Create and strengthen buyer preferences for the company's offering
- Incite an action such as purchasing the offering or contacting the company for information

The benchmark of a goal provides measurable criteria for success, as well as a time frame for reaching that criteria.

Including different tactical variables like product, service, price, etc... requires the message to adapt to serve the purpose of the communication.

- Product or service messages inform target customers of the characteristics of the company's products or services
- Brand-related messages focus on identity and the meaning of the company's offering or brand. These are about building the emotional/mental connection to the company.
- Price-related messages communicate the price
- Distribution-related messages highlight the offering's availability in distribution channels

The key principle when designing the message is that it should focus on the aspects of the offering that are likely to have the greatest impact on the goal. If customers are unaware of the benefits of the offering, the message should focus on its product and service aspects. If customers are unaware of the offering's availability/where to find it, the message should focus on distribution.

The media decision involves deciding on the communication budget, selecting the type of media used, and setting a communication timetable.

- **Budget:** It's important to select a budget first, because your budget often determines the type of media you will use. You can't do mass media TV ads if your budget is \$2000. Determine the budget based on an estimate of the resources required to achieve the company's strategic goal. This takes into account factors like number of customers reached through single exposure to the company's message per media dollar spent and the average number of exposures necessary to create awareness.
- **Media type:** Media type involves the means used by the company to convey its message. Popular types include:
 - **Advertising:** Nonpersonal communications in which the company develops the message and absorbs most or all of the media costs. Think more along the lines as mass market, widespread here, not quite targeted ads.

- Audio-visual (television, radio, film, social media)
- Radio
- Print (promotional brochures, advertisements in newspapers, search, banner ads, etc...)
- **PR and social media:** Communications by third parties that are not directly controlled by the company. The aim with PR is to encourage third party (opinion leaders, influencers, press) to promote the offering. Since the third party has less vested interest in the company than the company itself, public relations communications from third parties are viewed as more credible to consumers as compared to communications from the company.
- **Direct marketing:** Individually targeted communications designed to elicit a direct response. (Catalogs, direct mail, email, SMS, telemarketing, online advertising).
- **Personal selling:** Direct, typically face to face interaction with customers and sales people.
- **Event sponsorship:** Sponsoring events and activities of interest to the offering's target customer. A form of event sponsorship is a product placement, where the sponsor secures the rights to embed its offering into a particular form of entertainment, such as a sports event, television show, movie, etc...
- **Product-based communication:** Embedded in the product itself such as product labels, signs, and packaging.
- **Product samples and free trials:** Product samples and free trials enable customers to experience product benefits directly. Samples and free trials are often used in product introductions to encourage customers to try the offering.

The allocation of resources across different media types is function of the effectiveness and cost efficiency of each media format with respect to its ability to communicate the desired message. Once the allocation of resources is decided in terms of which media types will be used for communications, and how much of the budget will go to said media types, you must also determine which channels will be used within the media types. What time of day, audience, foot traffic, etc... should be exposed to your message for the highest impact possible?

- **Media scheduling:** Deciding the media scheduling involves identifying the pattern of communication, its reach, and frequency.
 - The **PATTERN** of communication can be continuous, concentrated, or intermittent. Continuous communication (also known as **flighting**) involves allocating exposures evenly throughout individual periods within a given time frame. Concentrated communication involves allocating the majority of exposures in a single period. Intermittent communication (also known as **pulsing**) involves alternating periods with high and low (or no) levels of advertising. The decision to use a particular timing format is a function of the characteristics of the company's offering and the pattern of product adoption/usage by target customers.
 - The **FREQUENCY** reflects the number of times target customers are exposed to a particular message over a given period. The number of exposures necessary for the company's message to register in a customer's mind is a function of factors (communication goals, novelty of the offering, the type of media, the creative solution used to generate awareness, and customers' level of involvement when viewing the advertisement). **IN SOME CASES**, a single exposure could be sufficient, but most often multiple exposures are required to achieve communication goals.
 - The **REACH** reflects the number of target customers that are exposed to a particular message at least once in a given period. Reach is typically a function of the size of the target market: The larger the market, the more reach you have.

The creative solution involves translating the company's message into language of the selected media format. Creative solutions vary on two main factors: their appeal and execution style.

- **Appeal:** Refers to the approach used to communicate the company's message. They usually involve at least either an information-based or an emotion-based appeal. Information based appeals rely on methods like factual presentations (straightforward presentation of the relevant information), demonstrations (illustration of the offering's key benefits in a staged environment), slice-of-life stories (illustration of the offering's key

benefits in every day use), and testimonials (praise by an individual based on his or her experience with the offering and endorsements by ordinary users or celebrities). Emotion-based appeals typically play on emotions like love, romance, humor, and fear. Some communication campaigns use a combination of the two approaches to achieve maximum impact.

- **Execution style:** The method used to convey a particular appeal using the language of the selected media format. Style decisions are media-specific. Print would be selecting fonts, wording and copy, graphics, photos, etc... Social media ads would have a different formatting like length, music, effects, wording, imagery, cinematography...

A VERY important aspect of developing the communication campaign is keeping the balance between the marketing message and the entertainment component of the creative solution. Because of ever-growing competition to capture attention from buyers, companies are tempted to develop overly creative campaigns. But this is a major mistake, communication creativity should never be achieved at the expense of content. First and foremost, the message, the purpose of the communication, should ALWAYS come first. Advertising is not an entertainment medium, it is a medium of conveying information and value as effectively as possible. A good advertisement sells the PRODUCT without drawing attention to itself.

The implementation of a communication campaign involves setting up the necessary infrastructure to execute the campaign. Setting up the processes necessary to execute the message, media, and creative, and outlining the implementation schedule.

- **Organizational infrastructure:** Identify the relevant collaborators (advertising, PR, and social media agencies) and forming a team to manage the campaign.
- **Processes:** Identify the specific actions to be taken during preproduction (technical aspects of the message, media, and creative solution), production (filming, videotaping, recording, or printing of the advertisement), postproduction (editing, duplicating, ensuring legal compliance, client approval), and distribution (airing, printing, and shipping)

- **Scheduling:** Decide the timing and optimal sequence in which individual tasks should be performed to ensure effective execution of the communication campaign.

There is no real, figured out way to measure the effectiveness of communications, because their effects are pretty unpredictable, and often latent factors produce results in terms of the exposed market that aren't directly measurable. Companies use diverse criteria to measure the effectiveness of campaigns. Six common ones are:

- **Exposure:** The number of times an advertisement has been seen by the target audience.
- **Comprehension:** The degree to which the audience understand the message embedded in the advertisement.
- **Recall:** The degree to which an audience member remembers an advertisement.
- **Persuasion:** The degree to which the advertisement is able to strengthen or change preferences of the target audience.
- **Intent:** The customer's mental disposition to act favorably toward the offering after receiving the communication.
- **Behavior:** The impact of an advertisement on respondents' actual behavior. This is typically measured by number of sales, sales inquiries, and website visits.

The problem with relying on customers' behavior as a measure of effectiveness is that most often the impact of communication is not immediate (especially in brand-building communications). A more meaningful approach to measure the effectiveness of a communications campaign is to take into account three factors:

- **Goal of the campaign:** If the communication goal was to create awareness, then measure with exposure, comprehension, and recall. If it's to strengthen preferences, then persuasiveness should be measured most closely. If the goal is to incite action, then behavior is the best measure.
- **Communication message:** Evaluating the effectiveness of the campaign also depends on the type of message. Incentives communications tend to increase sales immediately, while brand-building often takes time to develop into sales. As a result, using sales as a benchmark of effectiveness is likely to underestimate the role of incentive-focused communication.

- **Media format:** Measuring the effectiveness of a campaign also largely depends on the particular media format. In cases where the media is not directly linked to public performance, public relations and event sponsorship, then awareness and preference are good performance indicators. In cases where media are directly linked to performance measures (direct marketing, personal selling, click-through advertising), then actual behavior can be used to evaluate the effectiveness of the communication campaign.

Sales growth is an essential component of the effort to achieve sustainable profitability. There are two basic strategies for managing sales growth: Increasing the rate of adoption of a company's offering by new customers and increasing the offering's sales to existing customers.

To identify a good strategy for increasing sales volume, it's important to understand the process by which target customers adopt new products, then identify the impediments to new product adoption in different stages of the process, and finally develop an action plan to remove those impediments.

Product adoption can be viewed as a multi-stage process comprising a sequence of four steps: Awareness, Attractiveness, Affordability, and Availability.

This view implies that for customers to adopt an offering, they should be AWARE of its availability, find its benefits ATTRACTIVE, PERCEIVE the offering as AFFORDABLE, and have ACCESS to the offering. Because the number of potential customers who ultimately purchase the offering tends to decrease with each step, the steps in this process are referred to as the adoption funnel.

- **Awareness:** Reflects customer's knowledge that the offering is available. Awareness is generated by communications, whether those are direct from the company, through a collaborator, third parties, or word of mouth.
- **Attractiveness:** Attractiveness implies that buyers are not only aware of the offering, but also understand AND value its benefits. An offer is attractive to a target customer if it satisfies an important need better than the competitors.
- **Affordability:** Reflects customer's perceptions of the costs associated with the offering and their ability to cover these costs. Affordability (costs) and

Attractiveness (benefits) determine the overall value (utility) of the offering to target consumers. Affordability related to monetary costs is often the key impediment to adoption of an offering in financially strained demographic areas.

- **Availability:** The degree to which customers have access to the offering. Availability is a function of the density of the distribution channels catering to a given customer segment.

Managing product adoption calls for identifying and eliminating impediments at different stages of the adoption process. These impediments are called adoption gaps, and can be shown by mapping the dispersion of customers across different stages of the adoption process. The goal of this analysis is to provide a better understanding of the dynamics of the adoption process and identify problematic areas that require specific actions to solve. Basically, identify points of friction in the process where your customers drop off, and remove the friction points as much as possible.

Evaluating the largest areas of dropoff, by comparing the relative customer loss at each step above the norm, is the most important aspect for identifying points of friction in the adoption funnel. Gap analysis can be used to both pinpoint the problem spots in product adoption but also to identify specific solutions to close adoption gaps.

- **Awareness gaps** call for increasing awareness of the offering among target customers. This type of gap calls for increasing the effectiveness of company communications (by increasing communication spending, streamlining the message, developing a better creative solution, and using more effective media), collaborator communications (joint advertising) and fostering third-party communications that promote the offering (influencers, PR, social media, word of mouth)
- **Attractiveness gaps** call for improving the benefits of the offering. This is typically achieved by reformulating/redesigning the offering, which can involve permanent changes to the product, service, branding, and pricing aspects of the offering. Attractiveness gaps do not always imply that the offering lacks the benefits desired by target customers; they can also stem from the fact that buyers do not understand the offering's benefits. This can

be solved through product demonstrations, improving communication, and allowing the users to sample the product.

- **Affordability gaps** call for lowering the cost of the offering. Lowering monetary costs involve lowering the offering's price, adding monetary incentives, or redesigning the offering to improve its affordability. Affordability gaps may not mean that the actual costs of the offering are high; they might also result from customer's perception of the offering's actual costs. Such gaps in the customers' understanding of the offering's costs can be closed by communicating the costs of the offering in a way that leads to a more accurate perception of these costs.
- **Availability gaps** indicate that target customers do not have access to the offering. This could mean classes that overlap with school/work schedule, or a product being manufactured in too short a supply due to underestimated demand, etc... These are solved by ramping up production to meet demand, and improving the coverage of distribution channels to give target customers better accessibility to the offering, and improving channel operations to manage stock outs/low supply.
- **Purchase gaps** indicate that even though customers may find the company's offering attractive, affordable, and accessible, they have not purchased the offering within the time frame defined by the company's goals. This can result from the fact that customers have not formed the intent to purchase the offering in the near future or that they have formed an intent but have failed to act on it for time or budgetary constraint reasons. Closing purchase intent gaps typically involves introducing time-sensitive incentives such as short-lived price discounts, coupons, and financing options.

The other approach besides increasing product adoption by new customers involves increasing its consumption by current customers. Most purchases are recurring in nature, so managing recurring consumption can have significant impact on sales volume. The total quantity of offerings purchased over time by individual customers depends on several key factors, including overall satisfaction with the offering, frequency by which they use the offering, quantity used on each usage occasion, frequency of replacement, and the availability of the offering.

- **Satisfaction** reflects customers' experience of the offering. Unlike the attractiveness stage in product adoption, which is based on the EXPECTATIONS of the offering's value, satisfaction reflects the postconsumption evaluation, the actual customer EXPERIENCE with the offering.
- **Usage frequency** reflects the number of occasions on which the offering is used.
- **Usage quantity** is particularly relevant when customers determine the quantity consumed on each occasion.
- **Replacement frequency** is particularly relevant in cases of unit based products such as cars, printer cartridges, water filters, and razor blades, where customers determine when to replace the item.
- **Availability** indicates whether customers have a replacement at hand or can conveniently repurchase it.

A practical approach to managing usage calls for identifying and eliminating impediments at the different stages of the repurchase process. This can be achieved by analyzing the consumption process.

Evaluating the effectiveness of each stage offers a simple way to identify disproportionate drops in product usage. The most common solutions for closing usage gaps are:

- **Satisfaction gaps** call for improving the customers' experience with the offering. Depending on the cause, this might be enhancing the benefits and reducing the costs of the offering to make it more competitive, better aligning the offering's value proposition with changes in customer preferences, and adding variants to the offering's product line to reduce boredom and address variety seeking.
- **Usage-frequency gaps** call for increasing the frequency with which customers use the offering.
- **Usage-quantity gaps** call for increasing the amount of product that customers use on each occasion. One approach to increasing usage quantity is to educate customers about the optimal usage quantity. Usage volume can also be increased by designing the product in a way that ensures dispensing the optimal quantity per usage occasion.

- **Replacement frequency** calls for increasing the frequency with which to replace the product.
- **Availability gaps** call for ensuring continuous consumption without disruptions due to stock-outs or unavailability.

Because they deal with recurring purchases, consumption gaps often hold greater potential to increase sales volume than acquisition gaps. This is especially true for companies with a dominant position in the market because of a relatively large installed user base. Optimizing the consumption experience can have significant impact on the ability to grow sales volume.

Customer management involves a company's activities aimed at retaining and growing its user base. The development of a successful customer management strategy requires understanding the value that each customer brings to the company and designing strategies to create value for these customers.

Customer management aims to identify the optimal balance between the value created by the company for its target customers, and the value created by these customers for the company. Because customers vary in the value they create for the company, companies often prioritize developing superior offerings for customers with higher profit potential. Accordingly, the goal is to assess the profit potential of a company's customers and modify the company's offering to reflect the value of these customers for the company.

When evaluating the viability of targeting a particular customer segment, ask yourself: Can the company create superior value for these customers? Can these customers create value for the company and its collaborators? The first question is determined by the degree to which the company's core competencies and strategic assets are aligned with the needs of target customers. The answer to the second question is determined by customers' lifetime value; the monetary and strategic value customers are likely to create for the company during their tenure. The monetary aspect of lifetime customer value is commonly referred to as customer equity.

Customer equity goes beyond the current profitability of a customer, and extends to the entire stream of profits that a company is likely to receive from this customer.

Because of current technology, companies can track revenues and costs associated with customers in real time, allowing them to estimate the value of each customer precisely. Due to this data, companies can then segment its customer base according to customer profitability and to deliver a level of service based on a customer's equity. Customers with greater value to the company (profit potential AND strategic importance) receive superior benefits compared to less valuable customers.

A customer can create value for the company in at least three different ways:

1. By directly generating revenues and profits for the company through purchase of the company's products and services
2. By promoting the company's products and services to other buyers
3. By providing the company with information that can help increase the effectiveness and efficiency of its operations

Direct value reflects the monetary value received by a company from its transactions with a particular customer. A customer's direct value is typically calculated as the difference between the revenues generated and costs incurred during a customer's lifetime, discount for the time value of money. Assessment of their value typically includes the following six factors:

1. Number of transactions during the customer's tenure with the company
2. Average transaction profitability
3. Customer acquisition costs
4. Customer maintenance costs
5. Customer retention costs
6. The discount rate (the interest rate used to determine the present value of future cash flows)

Communication value reflects a customer's potential to influence other buyers' behavior with respect to the company's offerings, often measured in terms of referrals generated by customers who share their experience with the company to influence other buyers. Communication value can be positive OR negative, so the

goal is to maximize the number AND potency of positive referrals while minimizing the quantity and impact of negative referrals. Identifying methods for tracking and assessing a customer's social impact is a key challenge in developing quantifiable customer equity models.

Information value reflects the value of the information provided by a customer. This includes two types of information:

- **Customer-specific information** involves data about a customer's needs and profile that can help the company design, communicate, and deliver value to this customer, as well as to customers with similar needs.
- **Company-specific information** reflects customer feedback regarding the viability and effectiveness of the company's activities.

Direct value is the most traditionally valued focus of customer equity, since it is observable and measurable. Communication value is also becoming highly valued, as social influence, peer-to-peer communication, and social media grow a larger role in society.

Customer loyalty is important. Three strategies for building it are retention-driven targeting, balancing acquisition and retention, and product-line retention.

Retention driven targeting: Creating a loyal customer base starts with selecting the "right target customers. Identifying loyal customers starts before developing a customer acquisition strategy, since the goal is to cultivate a loyal customer base. Retention driven targeting starts with identifying target customers whose lifetime value fits the company goals and has a need that the company can fulfill. Then it involves designing an offering that creates value by minimizing short term incentives and ensuring the sustainability of the strategy. Finally, develop an acquisition strategy targeting high-value customers whose lifetime value is aligned with the company's strategic goals. Development of an acquisition strategy is the last step, and should not occur until after the company identifies the high-value customers and develops a sustainable value proposition for them.

Retention → Targeting → Acquisition NOT Targeting → Acquisition → Retention

Balancing customer acquisition and customer retention: Most companies spend a large portion of their promotional budget on acquiring new customers rather than trying to retain their existing ones. This customer-rotation strategy is based on the assumption that newly acquired customers have the same value to the company as its current customers. Defection rates of 10 to 30 percent per year are not unusual. There are some advantages to investing in retaining current customers:

- Lowering customer attrition helps lower the company's expenses due to reduced acquisition costs and lower costs involved in serving current customers.
- Customers familiar with the company are more likely to adopt other products and services offered by the company.
- Loyal customers are the best advocates, promoting the company's products and services and bringing in new customers (higher communication value)

These definitely underscore the fact that having loyal customers is important. Whether the majority of communications and promotionals should be spent on retention, however, is a question that goes unanswered.

Product-line retention strategies: One of the key causes of customer defection is the inability of the company's offering to fulfill customer needs. This is either a result of changes to the offering that diminishes its value to the customer, or due to the fact that the customer's needs have changed over time. Customer needs do not just vary across segments, but also across time. To fulfill the evolving needs of a company's customers, a company's offering must also evolve to align its value proposition with customers' needs. The retention focused view of product-line management is a departure from the conventional view of new product introduction as a means to acquire new customers. It has some pros, and some cons. This author is very convinced that because acquisition of new customers is more costly than retaining existing customers, the better strategy is to use a good percentage of resources to retaining existing customers. This seems in the early stage to limit growth, but also calls for more sustainability than the "Double Jeopardy" approach which says you will gain more loyalty MORE inherently if you gain more market share, than if you focused on existing customers. The balance of both is a good decision, and the amounts of resources allocated to either or is up to the judgement and data presented in any given situation.

The customer equity pyramid is a strategy that uses the pareto principle to its advantage. It splits customers into the top 20%, and the bottom 80%. It then claims that focusing retention tactics on the top 20% will yield the best results due to the pareto principle. This may be useful in certain circumstances, but the pareto principle has limitations.

New products and services are the key to sustainable growth. They enable the company to gain and sustain market position by taking advantage of changes in the market to create superior customer value.

New products can be split into two categories: New to the company, and new to the world products. New to the company is something the company is doing that the target market has already adopted to an extent. New to the world products are products that are novel to the company AND the target customers (inventions, innovations, novel ideas). Depending on the novelty to target customers, new to the world products are can either be extensions of an existing category or can create their own category. Category extensions involve variants of existing offerings (new color, size, design, UI/UX, etc...) while new category offerings involve products and services with a fundamentally different value proposition that extends beyond existing categories. So categories are basically value propositions for a certain need.

Managing new products calls for understanding how customers adopt products, AKA diffusion of innovations. The pattern of diffusion is influenced by two factors: Size of the potential market (the number of users that will ultimately adopt the innovation) and speed of diffusion (the time frame for reaching the inflection point where growth slows and begins to decline). When observing non cumulative product adoptions, the Rogers' and Moore's Models are used to identify stages of product adoption.

Not all innovations follow the normal bell-curved adoption distribution. Some are adopted very rapidly whereas others take a substantial amount of time to achieve their peak. The speed at which customers adopt a new offering is a function of the

value provided by the offering. Several factors are highly correlated with the likelihood of adoption by users:

- Inherent value of the offering
- Relative advantage of an offering over the product it replaces
- Transparency of the relative advantage (advantage must be readily observable and able to be experienced by customers)
- Compatibility with customers' existing systems
- Low perceived risk (uncertainty about preferences, product's future performance, and magnitude of risks associated with the new product)
- Amount of promotions activity and availability of the product across distribution channels

Communications associated with a new offering can be initiated by the company and by a third party. Company and collaborator communications typically precede third party communications, but sometimes third party communications can appear first for a new product, like in the case of facebook or google. Third party communications can both help and hurt new product adoptions. Offerings that appeal to customers are likely to generate positive word of mouth, and unattractive offerings can generate unfavorable third-party communications that may slow down the rate of adoption and decrease the market potential of the offering.

The product life cycle describes the general trend of products and services as they progress through different stages in the marketplace. Because the stages in the product lifecycle are characterized by different market conditions, different stages require different marketing strategies. In this context, the four key product life cycle stages are: Introduction, Growth, Maturity, and Decline.

During introduction, product awareness is low and there are very few competitors. As the product takes off during the growth stage, the number of competitors entering the market increases. At maturity, the number of competitors tends to peak, the market becomes saturated, and industry profitability starts to decline because of intensifying competition. Finally, the decline stage is characterized by falling demand for the product relatively low profitability, and a decreasing number of competitors stemming from consolidation and exit from the market.

Product strategies vary at different times in the product life cycle. At introduction, companies typically offer a single product targeted at the most likely adopters. As the product enters the growth stage, the company addresses growth by diversifying products to target more segments/subsets within the market as it grows. During maturity, the number of products a company offers hits a peak. Lastly, during decline, companies focus on their best-selling products and minimize the product line.

Communications also differ across the lifetime of a product. In the earlier stages, communication campaigns aim primarily at creating awareness among early adopters. As the product enters the growth stage, communication goals shift to creating awareness among the mass market while differentiating its offerings from competitors. In maturity most of the market is aware of the product, the communication focus shifts even more towards differentiation from competitors. This continues into decline, when communication spending largely declines.

An important aspect of product decisions involves managing the evolution of the company's products over time. Products are replaced, especially in tech and software, at a more and more rapidly increasing rate, so if a product does not evolve with the rest of the market, it will be swiftly left behind in exchange for better experiences. That's why it's important to be continuously searching for new areas of great interest for the customer base and evolve products to always reflect their current problems and needs.

Creating a marketing plan involves four key components:

- **Executive summary** outlines the highlights of the marketing plan. It is the streamlined overview of the company's goal and the proposed course of action. It's the key problem faced by the company and the action plan to solve it.
- **Situational analysis** examines the environment in which the company operates and identifies the target markets in which it competes. This involves:
 - Company overview (strategic goals and current progress towards said goals, core competencies and strategic assets, and its portfolio of offerings)
 - Market overview (markets in which the company currently operates and could potentially target)
 - Target customers who the company will tailor its offerings to
- **The action plan** that outlines the proposed course of action to create value for its target customers. The action plan comprises:
 - **Goal section:** Identifying the desired outcome that the company aims to achieve, with specific quantitative and temporal benchmarks to characterize this outcome.
 - **Strategy section:** Outlines the blueprint for achieving the company's goal. This involves describing the target market and designing the offering's value proposition.
 - **Tactics section:** Delineates how the desired strategy is translated into a set of specific actions. This defines the seven key decisions that managers need to make in terms of product, service, brand, price incentives, communication, and distribution.
 - **Implementation section:** Outlines the organizational infrastructure, business processes, and scheduling aspects of executing an offering's strategy and tactics.
 - **Control section:** Indicates the procedures employed in evaluating the company's performance and analyzing the environment in which it operates.
- **Exhibits** help streamline the logic of the marketing plan by separating the less important/more technical aspects of the plan into a distinct section in the form of tables, charts, and appendixes.